

These hiccups apart, it was an exceptionally lucrative year for me. It was the same for most of the others in the market, except for the minority that kept short-selling technology shares to prove a point. The Sensex rose around 40 per cent during the year, even though most of the revered old-economy stocks struggled through the year. Two things worked against these stocks. One, their earnings growth was nowhere as high as that of their ICE counterparts. Two, many investors sold their blue chip holdings to buy more of the new-age stocks, convinced that market leadership had permanently changed.

Intoxicated by the fantastic run in stocks, most players expected the coming year to be even better. The logic was that FIIs would allocate more money to India since it was among the best-performing markets globally.

The new millennium dawned without any disaster arising from the Y2K bug in computer systems, as was widely feared. One would have expected the bulls to be a bit cautious after the 40 per cent rise in the Sensex the previous year. If anything, it only emboldened them to the point of recklessness.

The index rose 375 points (7.5 per cent) in the very first trading session of the year. I was told that operators were buying stocks, confident that they would be able to shortly offload them to FIIs. GB's friend was not mistaken about Ketan's actions attracting the attention of the tax department. In the second week of January, income tax officials surveyed Ketan's offices and found evidence of undisclosed income. Some of Ketan's favourite stocks weakened briefly, as did the Sensex, but the rebound was quick.

No adjective can sufficiently describe the bull market that raged from January to the second week of March that year. Even the word 'madness' cannot fully describe what we witnessed in those two and a half months. It was as though everybody in the market had taken leave of their senses all at once. I will let the stock prices speak for themselves. Infosys soared from Rs 14,500 to Rs 28,000, Satyam from Rs 2,200 to Rs 7,200, Wipro from Rs 2,600 to Rs 9,800, Global Telesystems from Rs 960 to Rs 3,550, Himachal Futuristics from Rs 677 to Rs 2,550, and DSQ Software from Rs 950 to Rs 2,700 (I am providing rough figures). Compared with these stocks, Zee was a modest performer, rising less than 50 per cent, to Rs 1,600 from Rs 1,100. But it must be remembered that Zee was now a paid-up share of Re 1, which meant it was worth Rs 16,000 for shareholders who had bought the paid-up stock of Rs 10.